www.tntextbooks.in

5.7.2 Total method

Steps to be followed to prepare trial balance under total method are given below:

Step 1: Calculate the totals of debit side and credit side of all the ledger accounts including cash book individually.

Step 2: Enter the name of the account in the particulars column and enter the debit total in the debit column and credit total in the credit column for each account separately.

Step 3: Enter the page number of ledger from which the balance is taken in the Ledger Folio column.

Step 4: Find the sum of the debit total and credit total columns. It must be equal. If not equal, locate the errors and make the trial balance agree.

For the above example, trial balance will be prepared under total method as follows:

Trial balance as on 31st January, 2017 (total method)

S. No	Particulars	L.F.	Debit total `	Credit total `
1	Cash A/c		5,56,800	23,000
2	Rathnakumar's capital A/c		-	5,00,000
3	Furniture A/c		6,000	-
4	Purchases A/c		35,000	-
5	Jeyanthi A/c		2,500	25,000
6	Purchases returns A/c		-	2,500
7	Sales A/c		-	1,04,000
8	Elizabeth A/c		72,000	22,000
9	Salaries A/c		7,000	-
10	Commission A/c		-	2,800
	Total		**6,79,300**	**6,79,300**

5.7.3 Total and Balance method

Steps to be followed to prepare trial balance under total and balance method are given below:

Step 1: Calculate the totals of debit and credit columns of all ledger accounts and calculate the balances in each ledger account.

Step 2: Enter the name of the account in the particulars column and enter the debit total in the debit total column and credit total in the credit total column for each account separately. Also enter the debit balances in the debit balance column and credit balances in the credit balance column for each account.

Step 3: Enter the page number of ledger from which the balance is taken in the Ledger Folio column